Embecta Corp.

Credit Review – April 2026

Bansi Patel, CFA

Opportunity Overview

Embecta Corp. makes diabetes care products that help administer insulin

- Embecta estimates its products are used by ~30 million people in over 100 countries
- ~2k employees worldwide (~500 commercially focused employees) with 3 manufacturing sites in 3 countries
- Generated ~$1.1B of revenue and ~$415M of Adj. EBITDA in LTM period (38.4% margin)

Background

- Embecta was founded as part of Becton Dickinson and spun off in April 2022 to allow both companies to strengthen growth profiles

Investable Opportunity (as of April 16, 2026)

- $679.3M of S + 300bps Term Loan B due 2029, rated B+/B1 – Trading at $100.08, 6.68% YTW
- $500M of 5% First Lien Secured Notes due 2030, rated B+/B1 – Trading at $94.79, 6.56% YTW
- $200M of 6.75% First Lien Secured due 2030, rated B+/B1 – Trading at $94.75, 8.38% YTW

Sources: Company Filings

Investment Summary & Recommendation

Credit Profile

- Scaled insulin consumables franchise (~50% share in core pen needle markets)
- Recurring, reimbursed revenue base with stable ~38% EBITDA margins
- Consistent FCF generation (~$200M LTM) with low capital intensity
- BUT: Structurally mature category; revenue flat-to-declining; GLP-1 headwind

Capital Structure

- ~2.9x net leverage LTM stepping up to ~3.9x gross 2026E per mgmt guide
- FY26 EBITDA guided to $360M vs $415M LTM (-13%) before deleveraging resumes
- Ample liquidity: $701M total, $500M undrawn revolver, no maturity until 2029
- Recovery asymmetric: 87% avg recovery undrawn scenario / 57% fully drawn

Recommendation: PASS

- Durable consumables franchise but category in secular decline; GLP-1 compresses addressable base over 5–10 year horizon
- March 2026 Owen Mumford acquisition ($134M upfront, RCF-financed) marks capital allocation pivot toward M&A ahead of 2029 refinancing
- Customer concentration (42% with three wholesalers) compounds secular risk in declining category
- Spread inadequate on rating-adjusted basis: 100bps wide of higher-rated healthcare comps
- FY26 earnings step-down likely repricing catalyst; recovery analysis does not support "principal safe" thesis
- Re-underwrite at 75bps or greater TLB widening, 5% notes YTW at 7.50% or higher, or post-FY26 earnings print confirming deleveraging

Sources: Company Filings

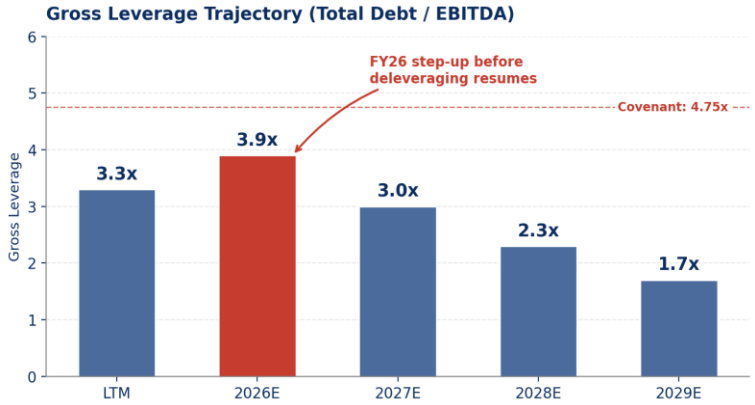
Credit Thesis (Continued)

1. Secular Category Decline + GLP-1 Compression

- Pen needle units in developed markets contracted for four consecutive years
- GLP-1 adoption delays insulin initiation in Type 2 patients over 5-to-10-year horizon
- GLP-1 pen tip participation is lower margin and lower volume than insulin consumables
- Management FY26 guide of $360M EBITDA vs $415M LTM is first formal acknowledgment

2. Capital Allocation Pivot (Owen Mumford Acquisition)

- March 2026: $134M upfront, up to $200M total with Aidaptus earnout, RCF-financed
- Revolver draw rather than cash or delayed debt paydown signals shift ahead of 2029 refinancing
- FY27 guided dilutive to adjusted net income, flattening FCF available for debt reduction
- Draw reduces undrawn revolver cushion anchoring optimistic recovery scenario



Credit Thesis (Continued)

3. Customer Concentration Compounds the Secular Story

- McKesson, Cardinal, Cencora at 42% of revenue
- In a declining volume category, wholesaler pricing leverage increases
- Embecta is price-taker to three customers consolidating margin pressure onto suppliers

4. Spread Inadequacy Reinforces the Call

- TLB at S+300 (6.68% YTW) and 5% notes at 6.56% YTW trade only 100bps wide of higher-rated healthcare comps
- Rating-adjusted gap does not reflect the fundamental risks above

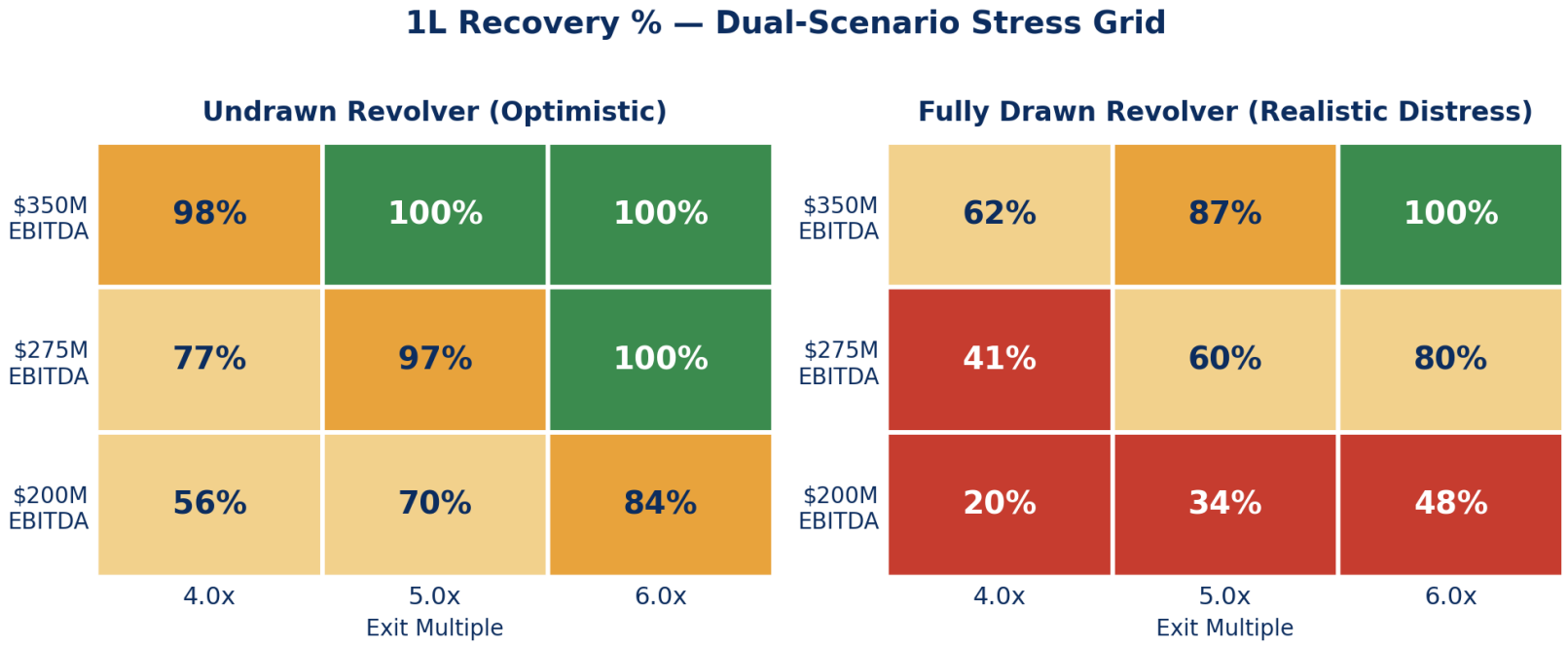
5. Recovery Analysis Does Not Anchor the Thesis

- Dual-scenario recovery: 87% average 1L recovery undrawn / 57% fully drawn
- At FY26 guide ($360M EBITDA) at 5.0x multiple: drawn scenario shows ~80% recovery
- Owen Mumford RCF draw collapses the undrawn scenario as a forward-looking recovery floor

Key Takeaway: Embecta is an operationally stable B1 credit, but at current spreads, compensation is insufficient for the combination of secular category decline, capital allocation pivot, customer concentration, and compressed recovery cushion.

Sources: Company Filings

Recovery & Fulcrum Analysis



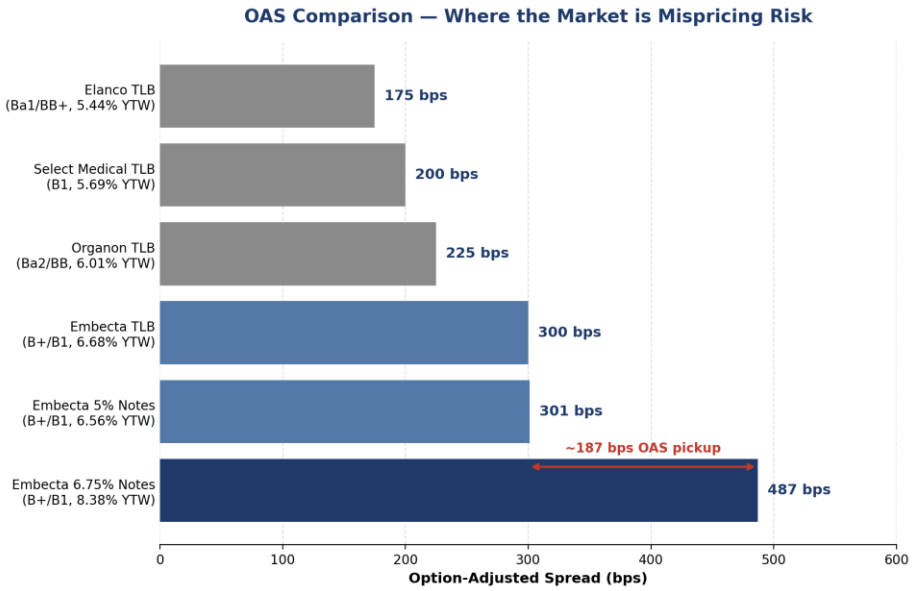
Key Insight: Recovery is scenario-dependent. The 30-point gap between undrawn (87%) and drawn (57%) average recovery is material. For a credit trading near par, this means principal is conditionally safe — which is not the same as safe.

Sources: Company Filings

Capital Structure Relative Value

Capital Structure OAS Comparison

- Same issuer, same collateral, same maturity — 6.75% Notes offer ~187bps OAS pickup over pari passu 5% Notes
- 6.75% Notes are the only Embecta instrument where spread adequately compensates for B1-rated risk
- Size constraint: $200M outstanding precludes institutional-scale position building



Sources: Company Filings

Business Description & Overview

Pen needles are the main offering

- Additional product offering includes syringes and safety injection devices

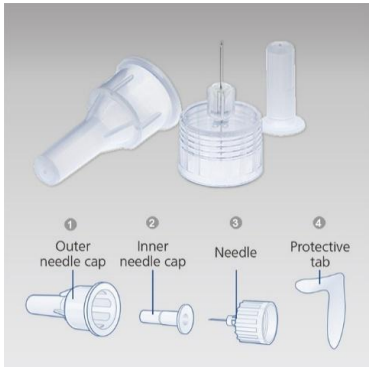
Embecta produces around 8 billion units annually across 3 main facilities

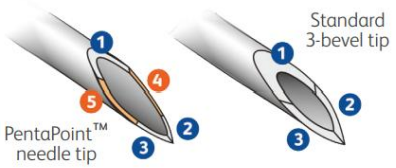
- Cannulas are supplied through an agreement; mixture of 3-Bevel and 5-Bevel needles
- Other key supplies include plastic resin, needle lubricants, adhesives, rubber stoppers, and packaging

Market Share Leader

- #1 market share (~50%) in any given market it participates in

	Dún Laoghaire, Ireland	Suzhou, China	Holdrege, USA
			
	World's largest manufacturer of pen needles	Global pen needle production	World's largest manufacturer of insulin syringes
Experienced manufacturing	Established in 1969 ~270,000 sq. ft.	Established in 2015 ~240,000 sq. ft.	Established in 1966 ~278,000 sq. ft.
High capacity	>40 injection molding machines >20 assembly lines	>10 injection molding machines >5 assembly lines	>60 injection molding machines >10 assembly lines
Products manufactured	Pen needles and Safety pen needles	Pen needles	Syringes, safety syringes and alcohol swabs
Owned vs. leased	Owned *Ability to expand footprint*	Owned *Ability to expand footprint*	Leased *Ability to expand footprint*





Sources: Company Filings

Business Description & Overview (Continued)

Channel Structure

- Products are sold primarily to large pharmaceutical wholesalers and distributors, who supply retail and institutional pharmacy channels
- McKesson, Cardinal Health, AmerisourceBergen (Cencora) = 42% of sales
- 5 largest pharmacies = 14% of sales

Pricing & Access Drivers

- Revenue reflects contracted pricing arrangements and customary gross-to-net deductions
- US utilization is influenced by payer formulary placement and reimbursement conditions
- Access is supported by competitive pricing, product quality, and demonstrated reliability of supply

International Markets

- Outside the US, reimbursement dynamics vary by geography
- In certain markets, limited reimbursement availability increases exposure to government tender systems and patient out-of-pocket spending

Strategic Development

- Pending ~$190M (£150M) acquisition of Owen Mumford (announced March 2026, closing FY26 Q3, RCF-financed) extends franchise into adjacent drug-delivery platforms via Aidaptus auto-injector

Investment Conclusion

- Scaled, operationally stable diabetes consumables franchise; category in secular decline with GLP-1 compression over 5–10 year horizon
- FY26 guide ($360M EBITDA vs $415M LTM, -13%) is management's first formal acknowledgment of the compression
- March 2026 Owen Mumford acquisition ($134M upfront, up to $200M total, RCF-financed) marks capital allocation pivot away from debt paydown ahead of 2029 refinancing
- Customer concentration (42% with 3 wholesalers) structurally compounds secular decline
- Recovery asymmetric: 87% avg undrawn vs 57% drawn; RCF draw collapses undrawn bookend as forward-looking floor
- Spread inadequate on rating-adjusted basis: 100bps wide of higher-rated healthcare comps
- Entry trigger: ≥75bps TLB widening, 5% Notes YTW ≥7.50%, or post-FY26 earnings print

Recommendation: PASS

Sources: Company Filings

Appendix

Diabetes Market Overview

589M
Adults living with diabetes globally (1 in 9) – 2024

853M
Projected by 2050 (+45% increase)

$1.0T
Global health expenditure (+338% over 17 years)

United States

38.5M people with diabetes (age 20 -79)

- 28.9M diagnosed, 9.6M undiagnosed
- $404.5B health expenditure in 2024 in adults (age 20 – 79)

Type 2 accounts for **~98%** of all cases

252M undiagnosed globally (age 20 - 79)

Global Diabetes by IDF Region (2024)

IDF Region	2024	2050	Growth
Western Pacific	215.4M	253.8M	+18%
South-East Asia	106.9M	184.5M	+73%
Europe	65.6M	72.4M	+10%
N. America & Caribbean	56.2M	68.1M	+21%
Middle East & N. Africa	84.7M	162.6M	+92%
South & Central America	35.4M	51.5M	+45%
Africa	24.6M	59.5M	+142%

Insulin Delivery Devices Market

- Global market valued at **~$23B (2024)**, projected to reach **~$53B+ by 2034** (CAGR ~8–10%)
- Insulin pens hold ~42% share, pumps ~17%, syringes ~22% | North America holds ~40% of global market share

Sources: IDF Diabetes Atlas 11th Edition (2025), CDC National Diabetes Statistics Report (2026), MarketsandMarkets

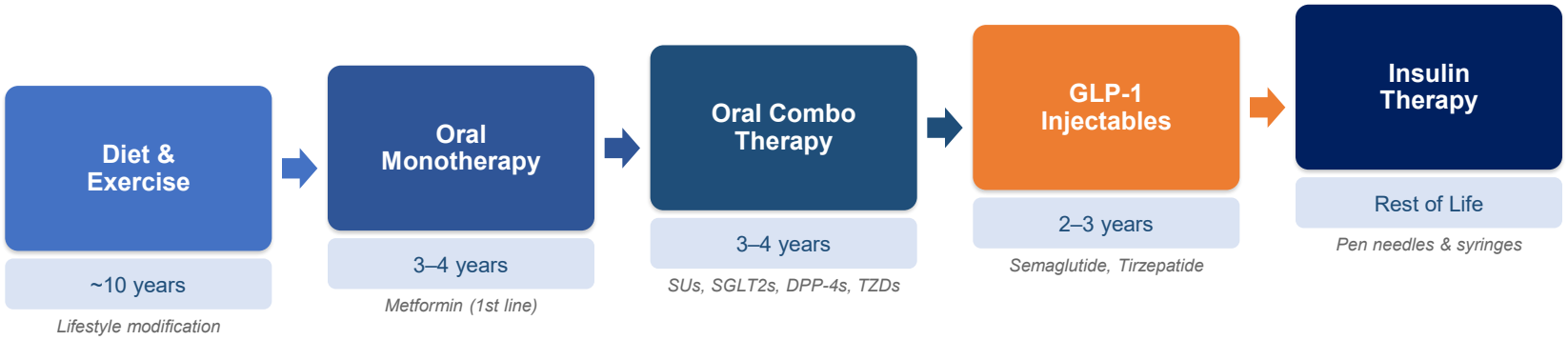
T2 Diabetes Treatment Progression

Essential, Recurring Healthcare End Market

- Type 2 diabetes is a chronic, progressive condition, and as the disease advances, many patients ultimately require insulin therapy as part of long-term management
- Over 580M adults globally live with Type 2 diabetes (~90–95% of cases), with prevalence continuing to rise, expanding the treated patient population each year
- Pen needles and syringes are high-frequency medical consumables supporting daily therapy adherence, benefiting from stable demand and broad global accessibility

Durable Demand Supported by Treatment Progression

- Diabetes care typically evolves through a multi-stage treatment pathway, resulting in sustained utilization of delivery devices over long patient lifecycles
- New therapies such as GLP-1s may delay insulin initiation for some patients but generally complement, rather than replace, injection-based treatment over time
- Embecta participates across this continuum, including supplying pen needles compatible with GLP-1 therapies



Key Insight: Progressive nature of T2D ensures durable, long-duration demand for insulin delivery devices — Embecta's pen needles and syringes serve patients across the entire insulin-dependent phase

Sources: IDF Diabetes Atlas (2025), ADA Standards of Care (2025), Company Filings

Insulin Delivery Methods

Syringe

- ~15–20% of global insulin-treated population
- Higher usage in emerging markets
- Primarily cost-driven adoption
- Minority method in developed healthcare systems

Pen

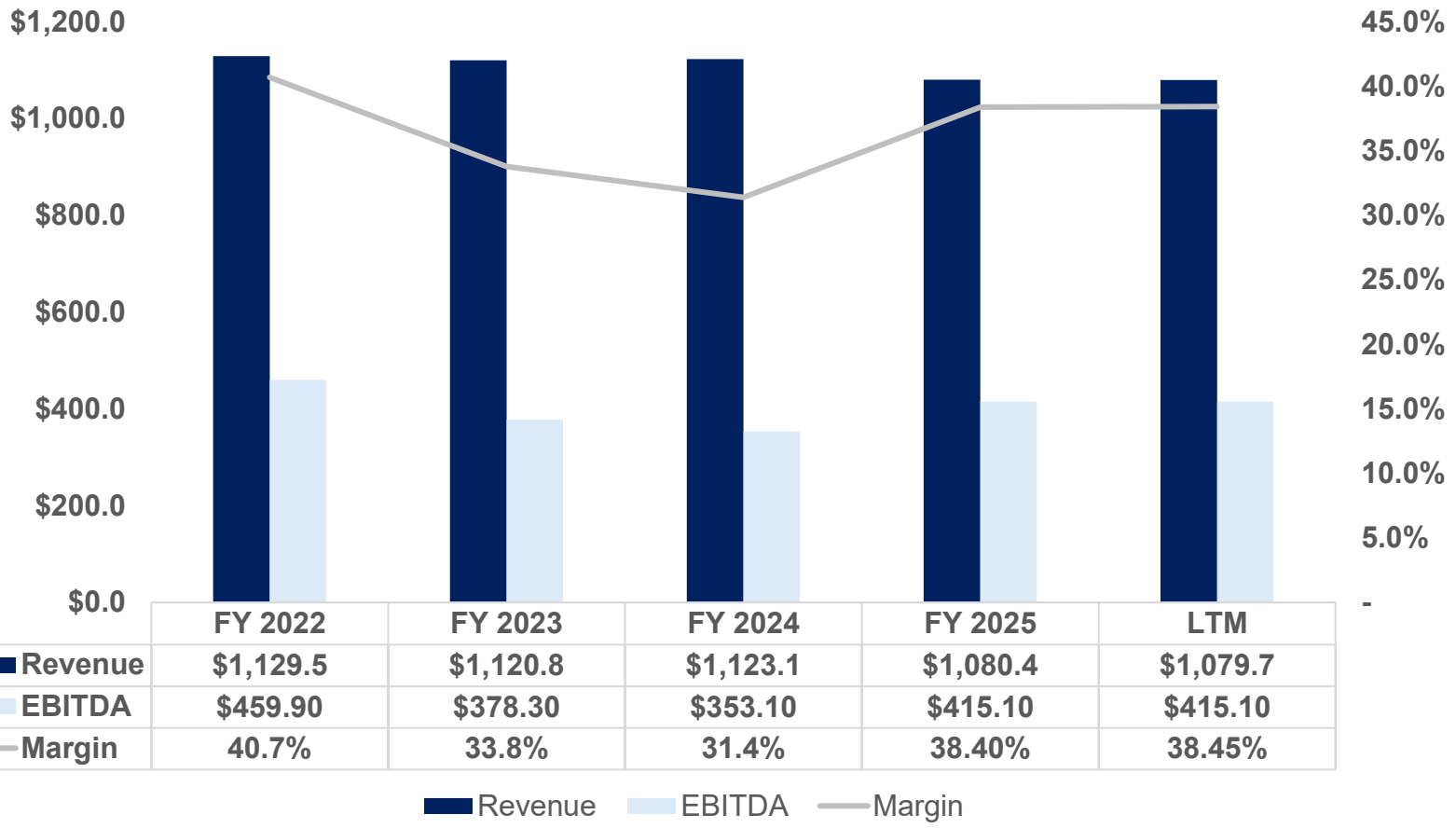
- Majority of global insulin-treated population (~65–70%)
- Standard of care in developed markets
- Widely used among insulin-treated Type 2 patients
- Common alternative for Type 1 patients not using pumps

Pump

- ~1–2M users globally
- Predominantly Type 1 patients
- Meaningful penetration among U.S. Type 1 patients (~30%+)
- Low single-digit % of total global insulin users

Sources: IDF Diabetes Atlas (2025), Mayo Clinic Proceedings, T1D Exchange Registry, ADCES, Insulet, Medtronic & Tandem disclosures

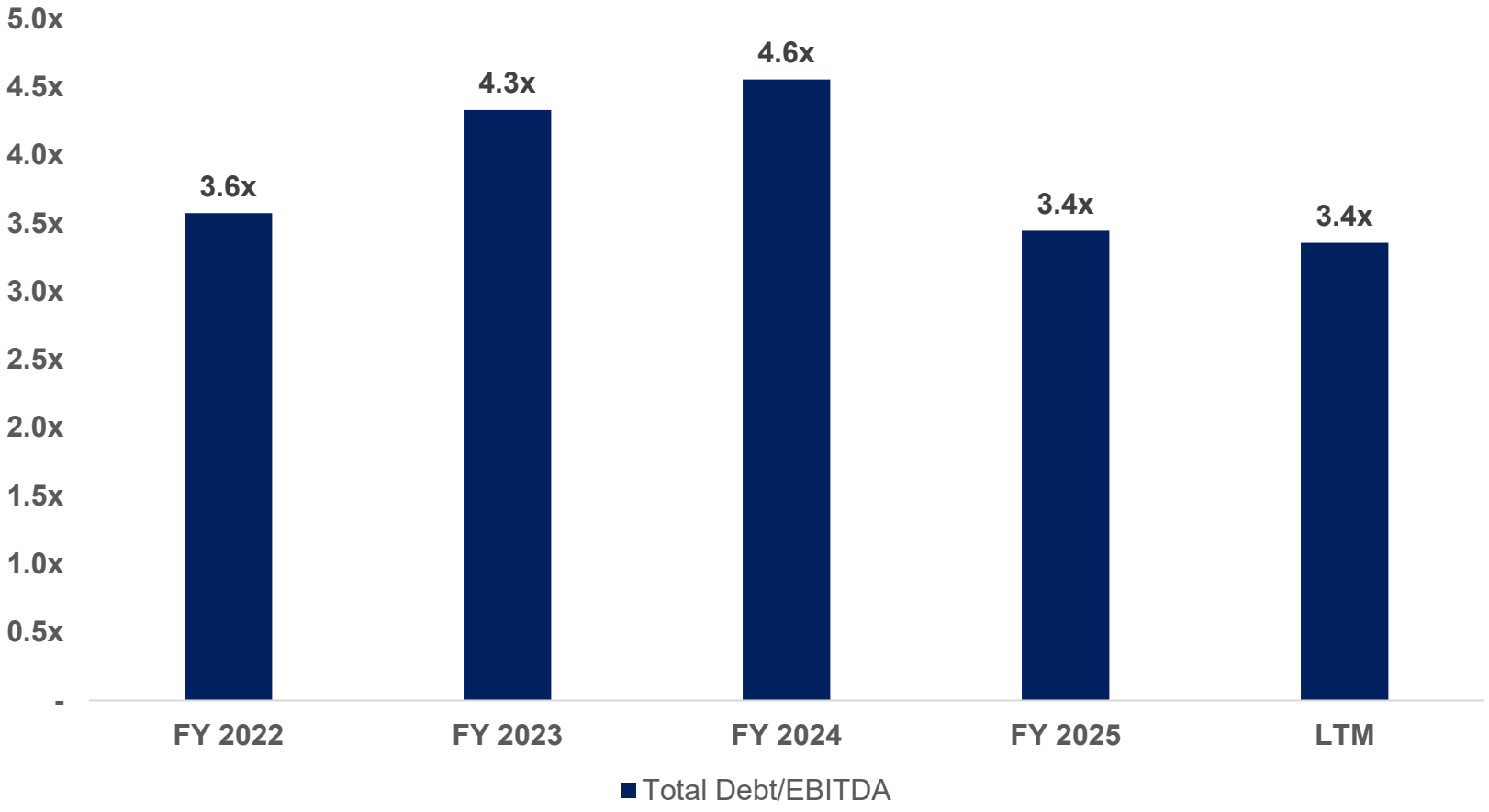
Operating Performance



	FY 2022	FY 2023	FY 2024	FY 2025	LTM
Revenue	$1,129.5	$1,120.8	$1,123.1	$1,080.4	$1,079.7
EBITDA	$459.90	$378.30	$353.10	$415.10	$415.10
Margin	40.7%	33.8%	31.4%	38.40%	38.45%

Sources: Company Filings

Total Leverage



Sources: Company Filings

Competitive Landscape

Novo Nordisk

- Global pharmaceutical company with integrated diabetes care franchise spanning insulin and GLP-1 therapies
- Pen needles and injection devices used to support proprietary insulin portfolio (e.g., Tresiba) and GLP-1 products (e.g., Ozempic)
- Primarily a pharmaceutical company and injection devices support broader drug franchise rather than representing a standalone device focus

B. Braun

- Diversified German medtech company operating in hospital and home-care markets globally
- Omnican Fine and Omnican Fine Plus branded pen needles utilize multi-facet grinding tips and thin-wall technology
- Broad product portfolio across infusion therapy, surgery, and diabetes care

Terumo Medical Corporation

- Japanese medtech company with operations across vascular, cardiac, and injection devices
- FineGlide pen needle launched in 2022 featuring thin-wall and multi-bevel design
- Vertically integrated supply chain across medical consumables
- More diversified device portfolio relative to pure-play pen needle manufacturers

HTL-Strefa / MTD Group

- European-based diabetes consumables manufacturer
- Produces lancets and pen needles from European facilities
- Acquired Ypsomed's pen needle business in 2024, expanding global footprint
- Competes across pharmacy, retail, and value-oriented segments in North America and Europe

Sources: Company Filings

Competitive Landscape (Pricing)

Tip Size	Embecta (BD) Price	Embecta Gauge	Novo Nordisk Price	Novo Gauge	HTL-Strefa (Droplet) Price	Droplet Gauge	MTD (mylife) Price	MTD (mylife) Gauge	Terumo (Nanopass) Price	Terumo Gauge
3.5mm	–	–	–	–	$30	34G	$40–45	32G	–	–
4mm	$30–35	32G	$40–55	32G	$10–25	32G	$40–45	32G	$35–70	32.5G–34G
5mm	$25–30	31G	–	–	$10–15	31G–32G	$25–45	31G	–	–
6mm	$80–95	32G	$80–90	32G	$10–15	31G–32G	$25–35	32G	$50	32.5G
8mm	$70–75	31G	$35–50*	30G	$10–25	31G–32G	$20–45	31G	$50	32.5G
10mm	–	–	–	–	$10–15	29G	–	–	–	–
12mm+	$25–30	29G	–	–	$10–15	29G	–	–	–	–

Sources: ADW Diabetes, Medical Supply Corner, Amazon.com, Save Rite Medical, Gloria Exports